Example 50: Information utilities

There is an emerging field in India, of ‘information utilities’ that perform commercial functions. There are two ways in which this industry can come about. One pathway is to have multiple competing private firms, with a layer of consumer protection and checks on market power such as interoperability regulation. This is the approach taken in the construction of NSDL, CDSL, etc. There is an alternative approach: to build a government monopoly. RBI is in the process of building such a monopoly, which is called the Public Credit Registry (PCR).

This is an inferior path for three reasons. First, concentrating information about private persons in the hands of government is harmful for society. We are generally better off with a government that knows less about us, and this is even more important at the early stages of building a republic, where there are few checks on the abuse of information. Second, monopolies generally fare worse than competitive industries at fostering innovation and cost reduction. Third, RBI has quite a challenge on its hands, of learning how to achieve state capacity on its core functions of inflation targeting and regulating banks. The pathway for RBI lies in focusing on its main tasks, and learning to do them well, rather than building a sprawling empire. [3]

Example 51: Competition between exchanges

Financial exchanges can compete, offering diverse products for trading, methods of trading, etc. There is a normal market process of listening to what users want, investing in innovations, learning from mistakes, changing course, etc., all playing out at exchanges with rapid feedback from successful adoption (or not) by financial market participants.

The government is involved in the working of financial markets in the form of addressing market failures. While exchanges innovate, the role of the government is to ensure that there is no collapse of the system of